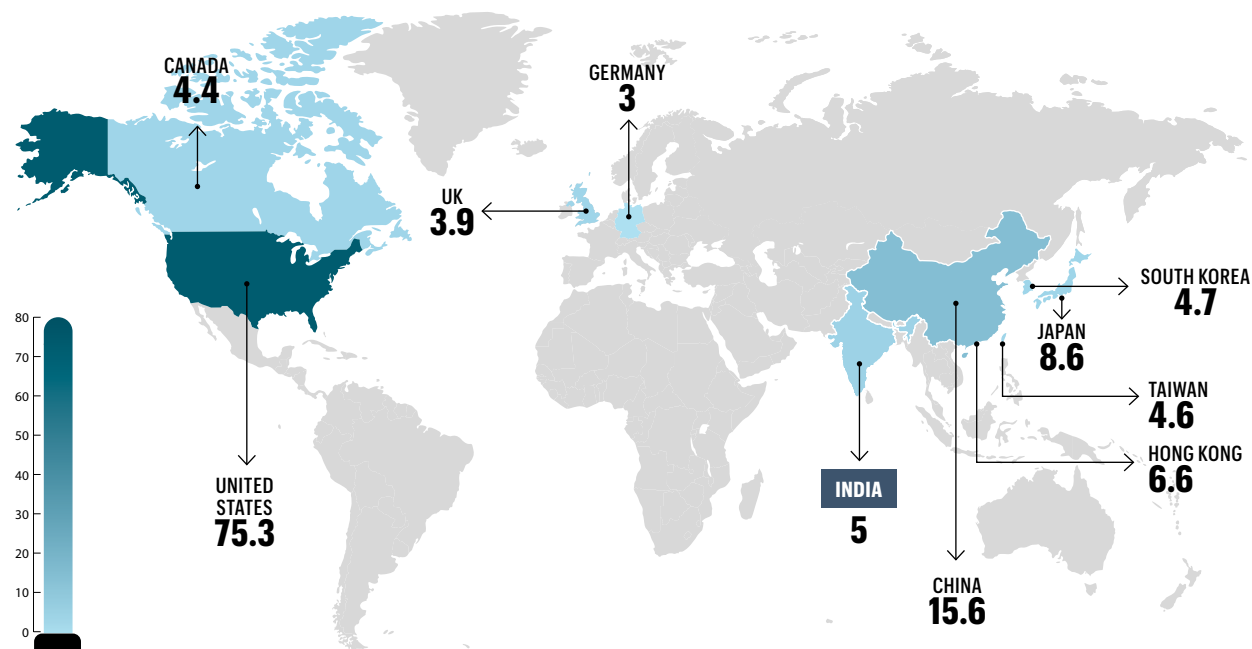


TOP 10 COUNTRIES BY MARKET CAPITALISATION

• The US is the biggest at \$75.3 trillion, followed by China and Japan



NOTE DATA AS ON JUNE 30, 2026; MARKET CAPITALISATION IN \$TN **SOURCE** MACROMICRO

education, travel or relocation; 20%+ selective allocation for sophisticated investors with large portfolios, global liabilities, higher risk tolerance and comfort with tax and reporting requirements,” he says.

Valtrust’s Bhutoria says an allocation of between 5% and 10% is ideal for most retail investors for currency diversification and access to themes India doesn’t offer.

CAUTIONARY TALES

Chasing recent fads and going all-in to take exposure to, say, the US market and technology stocks can backfire on investors. Markets and industries are cyclical, and they could correct or trade sideways for a long time.

For instance, the Nasdaq Composite that hosts all the global

technology giants gave zero returns (0%) for 15 years from 2000 to 2015.

“Chasing the rear-view mirror—buying because of recent returns, without registering that the AI capex driving those returns (up 4x since 2022) could slow, or that only 25-29% of S&P 500 stocks are actually beating the index right now—means a plain passive/index bet is really a narrow, concentrated bet dressed up as diversification,” says Bhutoria of Valtrust.

Then there are taxes. Long-term capital gains on international equity funds, stocks or exchange-traded funds (ETFs) are taxed at 12.5% if the holding period is 24 months. Short-term gains are added to income and taxed in the applicable slab. Capital gains are to be paid on rupee returns.

LRS remittances in excess of

₹10 lakh in a financial year involve a tax collected at source of 20%. Of course, this amount can be set off against overall tax liability when an investor files tax returns, but the TCS amount is collected at the time of the remittance.

Countries such as the US levy a withholding tax of 30% on dividends. Then there is the estate tax.

“Direct stock ownership in a US brokerage account exposes non-resident individuals to US estate tax on death—only a \$60,000 exemption on US-situs assets versus the effectively unlimited exemption for US persons, at rates up to 40%,” says Bhutoria.

US-situs investments are those considered to be legally located in the United States.

Then there is the compliance burden. Resident Indians must